

BigBear.ai Holdings, Inc.

BBAI NYSE

Neutral\$4.18 ▼ 0.48%

12M Price Target\$4.50

52-Week Range\$3.01 – \$9.39

Market Cap\$2.00B

BBAI: Panama Win, Backlog Build Offset by Restatement Overhang; Reiterate Neutral

WHAT'S CHANGED

- Zacks highlights expanding backlog momentum (5/25), reinforcing the Panama cargo security deployment announced 5/21 — first material LatAm trade-security footprint expanding TAM beyond core DoD/IC.
- Shares rallied ~6.6% over the past 5 sessions (\$3.92→\$4.18) on elevated volume (65.4M on 5/22 vs ~32M baseline); Simply Wall St. note (5/20) flags ongoing lawsuit/restatement risk as a counterweight.

IMPLICATIONS

The Panama deal validates BBAI's vision-AI/biometrics stack (Pangiam integration) in non-defense international trade corridors, a meaningful diversification step away from concentrated U.S. federal exposure. However, the restatement and pending shareholder litigation continue to suppress multiple re-rating until investors gain confidence in revenue recognition cadence and backlog-to-revenue conversion. Near-term catalysts: Q2 backlog disclosure, additional international wins, and resolution clarity on the restatement scope.

VALUATION

At \$4.18, BBAI trades at ~10x EV/2026E revenue (~\$195M), a premium to defense-IT peers (PLTR ex.) reflecting AI-narrative scarcity value but stretched given negative EBITDA and reporting-quality concerns. Our \$4.50 PT applies ~11x EV/2027E revenue, implying ~8% upside; further multiple expansion is gated on clean financials, sustained book-to-bill >1.2x, and a path to EBITDA breakeven by FY27.

KEY RISKS

- Restatement scope expansion or adverse litigation outcome triggers governance discount and potential covenant/dilution risk.
- Federal budget continuing resolution delays or DoD program reprioritization pressures core revenue cadence.
- Backlog conversion slippage — large announced contracts (Panama, DoD) executing slower than modeled, widening cash burn.

RECENT NEWS

BigBear.ai's Backlog Expands: Can Contract Wins Drive Revenue Growth? Zacks · 2026-05-25 13:17

Will First Panama Cargo Security Deal Mark a Turning Point in BigBear.ai's (BBAI) Global E... Simply Wall St. · 2026-05-22 14:09

Why BigBear.ai (BBAI) Is Still a Defense-AI Battleground Insider Monkey · 2026-05-22 07:18

Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-05-25 16:44 UTC

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Key Data

Price (USD)	\$4.18
12M Price Target	\$4.50
Upside / (Downside)	+7.7%
Market Cap	\$2.00B
FY2026E Revenue	\$195M
FY2027E Revenue	\$235M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.21)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

